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Case Number: 24STCV10563 Hearing Date: July 16, 2026 Dept: 224

Correa v. Thistle Health Inc.

TENTATIVE RULING

Defendants' Motion for Partial Judgment on the Pleadings is DENIED as to the Tenth Cause of Action and GRANTED without leave to amend as to the Ninth Cause of Action.

Introduction

On April 26, 2024, Plaintiff Jason Correa filed a Complaint in this action.

On June 13, 2024, Plaintiff filed the operative First Amended Complaint.

On October 3, 2025, Defendants filed the instant Motion for Partial Judgment on the Pleadings, seeking dismissal of the Ninth and Tenth Causes of Action.

On April 16, 2026, Plaintiff filed an opposition.

On July 9, 2026, Defendants filed a reply.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Nicholas Deming, executed on October 3, 2025, sets forth the meet and confer efforts of counsel for the Defendants, and counsel's attempts to resolve the disputes informally by written correspondence. The Court finds that the declaration does not satisfy the requirement of Code of Civil Procedure section 430.41, that "... the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to

demurrer." Nonetheless, given how long the Motion has been pending, the Court will exercise its discretion to address the merits.

Request for Judicial Notice

Defendants request judicial notice of the operative complaints in Cornelious, Lockett, and this action, and of the Notice of Entry of Order Granting Plaintiffs' Motion for Order Approving PAGA Settlement and Entering Judgment dated May 16, 2025. (Defendants' RJN, Exhs. 1-4.)

Plaintiff requests judicial notice of the parties' respective LWDA PAGA notices, the prior complaints, the Cornelious dismissal, the Cornelious/Lockett FAC, and the May 16, 2025 Judgment. (Plaintiff's RJN, Exhs. 1-10.)

The requests are granted.

Legal Standard

A defendant may move for judgment on the pleadings where the court has no jurisdiction of the subject of the cause of action alleged in the complaint or the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc., § 438 subd. (c)(1)(B).) A non-statutory motion for judgment on the pleadings may be made any time before or during trial. (Stoops v. Abbassi (2002) 100 Cal.App.4th 644, 650.) "Such motion may be made on the same ground as those supporting a general demurrer, i.e., that the pleading at issue fails to state facts sufficient to constitute a legally cognizable claim or defense." (Ibid.)

The standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (Bezirdjian v. O'Reilly (2010) 183 Cal.App.4th 316, 321-322, citing Schabarum v. California Legislature (1998) 60 Cal.App.4th 1205, 1216.)

Like demurrers, motions for judgment on the pleadings challenge the legal sufficiency of the allegations, not their veracity. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) The Court "must accept as true all material facts properly pleaded, but does not consider conclusions of law or fact, opinions, speculation, or allegations contrary to law or facts that are judicially noticed." (Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc. (2006) 138 Cal.App.4th 1215, 1219-1220.)

Tenth Cause of Action: PAGA

Defendants argue that Judgment on the Pleadings should be granted in their favor because the PAGA cause of action is barred by claim preclusion arising from the PAGA settlement and judgment entered in Carla Cornelious, Michael Lockett v. Thistle Health Inc. (Solano Cty. Super. Ct., Case No. FCS058261) on May 16, 2025, and that Plaintiff lacks standing to pursue it.

Res Judicata

Claim preclusion bars a second action between the same parties or their privies on the same cause of action following a final judgment on the merits. (DKN Holdings LLC v. Faerber (2015) 61 Cal.4th 813, 824.) A judicially approved PAGA settlement operates as a final judgment on the merits, and because the State is the real party in interest, such a judgment binds the State and all aggrieved employees. (Arias v. Superior Court (2009) 46 Cal.4th 969, 985-986; Robinson v. Southern Counties Oil Co. (2020) 53 Cal.App.5th 476, 481-483.)

These principles establish that the Cornelious/Luckett judgment precludes a successive PAGA action to the extent it seeks to relitigate the Labor Code violations that were, or could have been, encompassed within that prior representative action. Thus, the question is whether Plaintiff's PAGA claim for the misappropriation of gratuities under Labor Code § 351 falls within that preclusive scope.

The preclusive reach of a prior PAGA judgment is defined and limited by the scope of the prior plaintiff's LWDA notice. A PAGA plaintiff acts as the State's authorized proxy only as to the specific violations exhausted through the pre-suit notice required by Labor Code § 2699.3, subdivision (a)(1)(A). A plaintiff cannot litigate, settle, or release a PAGA claim she had no authority to pursue. (*LaCour v. Marshalls of California, LLC* (2023) 94 Cal.App.5th 1172, 1192–1197.) In *LaCour*, the Court of Appeal held that a prior PAGA judgment "does not extinguish unlisted PAGA claims in litigation brought by other authorized PAGA plaintiffs because such claims do not arise from violations of the same primary rights" the prior plaintiff was authorized to pursue. (*Id.* at p. 1195.) On the privity element, the court likewise held that a PAGA "statutory proxy acting without authority cannot be said to be in privity with her principal" as to claims outside her LWDA notice. (*Id.* at p. 1196.)

The judicially noticed records establish that the Cornelious and Luckett PAGA notices and complaints alleged wage-and-hour violations, including unpaid minimum and overtime wages, meal and rest period violations, inaccurate wage statements, unreimbursed expenses, and related claims. However, they did not allege facts supporting a violation of Labor Code § 351. (Plaintiff's RJN, Exhs. 3-6.) Neither the underlying settlement nor the Luckett Approval Order and Judgment references section 351. (Plaintiff's RJN, Exh. 10.) By contrast, Plaintiff's own April 2, 2024 LWDA notice specifically alleged that Defendants violated section 351 by misappropriating tips and gratuities. (Plaintiff's RJN, Exh. 1; FAC ¶¶ 40, 91.)

Because the Cornelious/Luckett plaintiffs never exhausted a section 351 violation before the LWDA, they lacked authority to pursue or release a section 351 PAGA claim on the State's behalf. Under *LaCour*, the broad release of "any other PAGA violations that could have been alleged" cannot extend to a claim the prior plaintiffs had no authority to assert, and Plaintiff was not in privity with those plaintiffs as to the section 351 claim.

Defendants' reliance on *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App.4th 562 and *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56 is misplaced. *LaCour* distinguished *Moniz*, and *Villacres* did not involve an unexhausted claim outside the scope of the prior LWDA notice.

Defendants' primary-rights argument that misappropriated tips are merely another form of unpaid compensation does not compel a different result. Section 351 declares that "[e]very gratuity is hereby declared to be the sole property of the employee or employees to whom it was paid, given, or left for." (Lab. Code, § 351.) Our Supreme Court has recognized that an employer's misappropriation of a gratuity is analytically distinct from an employer's withholding of promised wages: a gratuity left by a patron "arguably qualifies as a specific sum of money, belonging to the employee, that is capable of identification and separate from the employer's own funds," and "an employer's misappropriation of gratuities is not the same as an employer's withholding of promised wages." (*Voris v. Lampert* (2019) 7 Cal.5th 1141, 1155.) The harm alleged here is not the same harm as the nonpayment of earned wages litigated and resolved in *Cornelious/Luckett*. The section 351 claim thus implicates a primary right distinct from the wage claims resolved in that action.

Because Plaintiff's PAGA cause of action states a legally cognizable claim as to at least the section 351 theory, and a motion for judgment on the pleadings does not lie against part of a cause of action, the motion cannot be granted as to the Tenth Cause of Action. The Court need not reach Plaintiff's alternative argument that the injustice exception bars application of claim preclusion.

Standing

Plaintiff's PAGA notice was filed on March 7, 2024, before June 19, 2024, so the pre-2024 PAGA standing framework applies. (Lab. Code § 2699, subd. (v)(2).) To have standing, a plaintiff must be an "aggrieved employee" who was employed by the alleged violator and against whom at least one alleged violation was committed. (*Kim v. Reins International California, Inc.* (2020) 9 Cal.5th 73, 83-84; Lab. Code § 2699, subd. (c).)

Plaintiff alleges he was employed by Defendants and that Defendants misappropriated his tips and gratuities in violation of section 351 (FAC §§ 1, 13, 40). Section 351 is among the provisions for which PAGA penalties may be sought. (Lab. Code § 2699.5.) Plaintiff therefore satisfies the statutory standing requirements.

Here, the State's section 351 claim was never exhausted, litigated, or resolved in Cornelious/Luckett. Plaintiff, having exhausted section 351 through his own LWDA notice, retains standing to prosecute that claim on the State's behalf.

The motion is DENIED as to the Tenth Cause of Action.

Ninth Cause of Action: Failure to Provide Gratuities

Defendants further contend the Ninth Cause of Action fails because Labor Code § 351 provides no private right of action.

The Ninth Cause of Action seeks to enforce Labor Code § 351 directly. (FAC §§ 84-86.) The California Supreme Court has squarely held that section 351 does not create a private right of action authorizing an employee to sue an employer directly for misappropriated gratuities. (*Lu v. Hawaiian Gardens Casino, Inc.*, supra, 50 Cal.4th at pp. 603-604.) As pled, the Ninth Cause of Action is not legally cognizable.

Plaintiff does not meaningfully dispute the absence of a private right of action under section 351.

Plaintiff bears the burden of showing a reasonable possibility that amendment would cure the defect and cannot do so. The absence of a private right of action under Labor Code section 351 is a categorical bar that no repleading can cure. (*Lu v. Hawaiian Gardens Casino, Inc.*, supra, 50 Cal.4th at pp. 603-604.)

Accordingly, the motion is GRANTED without leave to amend as to the Ninth Cause of Action.

Conclusion

Defendants' Motion for Partial Judgment on the Pleadings is DENIED as to the Tenth Cause of Action and GRANTED without leave to amend as to the Ninth Cause of Action.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.